

ENGLISH

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 22

23rd February, 2017 @ 12.00 noon

Devil in the detail

The still large bad loan book not only heightens the risk to earnings but also impedes fresh lending

The rather sanguine reaction of the market following the results of some of the leading public sector banks, is understandable. After the tumultuous performance last fiscal, owing to the RBI's asset quality review, most banks have cut their losses considerably. Incremental addition to the stockpile of bad loans has slowed, leading to a fall in provisioning requirement and improvement in earnings. The quarterly slippages of the largest lender, State Bank of India, have halved over the last two quarters from a whopping ₹20,000-30,000 crore in the second half of last fiscal. Other large state-owned lenders such as Bank of Baroda and Punjab National Bank, after reporting record losses, have crawled back into the black. But the recovery is nothing more than an optical treat, calming investor nerves rattled over the past couple of quarters by the sheer quantum of slippages. While the pace of slippages has moderated, much of the damage has been done. With PSBs alone saddled with over ₹6 lakh crore of bad loans, provisioning requirement can shoot up in the coming quarters if stressed accounts are not resolved quickly and bad loans continue to age. SBI alone has a little over ₹1 lakh crore of bad loans, nearly a fifth of the country's fiscal deficit.

With core earnings continuing to shrink on account of tepid credit offtake – further hit by demonetisation – many banks have only just managed to stay above water; in most cases bad loan provisions are equal to or many times banks' operating profit. And this, despite the steep windfall treasury gains that banks reported during the quarter. The silver lining, until recently, was the strong performance by private banks, which had mostly emerged unscathed from the RBI's AQR activity. But the sudden rise in slippages of large lenders such as KFCI Bank and Axis Bank, aside from raising some niggling questions, have also weighed on the performance of the entire pack, with profits shrinking for two quarters in a row.

The only way to free up banks' balance sheet and revive investment appetite of stressed companies is to hasten the resolution process. Asset reconstruction companies (ARCs) set up for this purpose have seen limited success, owing to scarce capital and delays in the functioning of the Debt Recovery Tribunals. Lifting the cap on promoters' holding in an ARC has been done away with recently, easing up capital raising. There is now an urgent need to kick-start the resolution machinery under the new Bankruptcy Code. Also, in finding ready takers for businesses under the RBI's various restructuring schemes or selling bad loans to ARCs, lack of concurrence of the serviceable or sustainable portion of debt has impeded resolution. Hence, banks need to be empowered to take huge haircuts to restore viability in some projects. For this, the Centre needs to move ahead on structural reforms – be it operationalising the Banks Board Bureau, or setting out a clear roadmap for consolidation within the sector, or reducing its stake in PSBs.

THE SHARHINDU
BusinessLine

20th February 2017



**DISCUSSION ON
23rd Feb (Today)**



**DISCUSSION ON
27th Feb (Monday)**

What women want

What women want

Financial inclusion for women requires innovative credit assessment and breaking away from stereotypes

After the initial announcement that the Bharatya Mahila Bank would participate in the mega-merger of State Bank of India and its subsidiaries, the fate of this bank is now in limbo, with the Cabinet undecided on its merger. The reason for this flip-flop is unknown. But it is clear that the bank, launched just three years ago to promote women's empowerment and financial inclusion, is still a long way from attaining its lofty objectives. With just 100 branches and a business of ₹1,549 crore (March 2016), its operations are nascent.

That the cause of financial inclusion and economic empowerment for women in India needs urgent policy intervention is brought home by several statistics. The World Economic Forum's 2016 Gender Gap Report ranked India a lowly 136 out of 144 countries in terms of economic participation and opportunities for women. Official statistics suggest that, even after a brisk pace of account openings under the Pradhan Mantri Jan Dhan Yojana, fewer Indian women (61 per cent in 2015) own bank accounts than men. Research studies show that women-run small and medium enterprises face great difficulty in accessing formal credit, and if they do, are forced to fork out higher interest rates than male-run firms. If women in business and lower-income brackets face out-and-out discrimination, affluent ones have to make do with sub-optimal products from financial services firms due to stereotyping. Banks vending 'special' women's savings accounts and credit cards seem to think that discounts on apparel, cosmetics and spa treatments, with the odd 'well-woman' check-up thrown in, is all that is needed to customise their offerings for women. Even Bharatya Mahila Bank's initial suite of loan products for women focussed mainly on kitchen renovations, beauty parlours, daycare centres and catering services. All this runs contrary to the experience that women borrowers tend to be more disciplined with savings and timely with loan repayments. This is indeed why much of the lending by microfinance institutions and self-help groups is deliberately targeted at women of the household. If women face high barriers to bank finance despite this, it can be attributed not just to gender bias, but also to their lack of access to collateral (property titles are mostly held by male members) and financial literacy constraints. On these counts, financial institutions and policymakers need to do far more than engage women employees. They need to drive financial literacy among women borrowers and explore innovative means to assess their credit-worthiness in the absence of collateral. Digital footprints and transaction data mined by new-age alternative credit scoring platforms can be of great help to assess repayment ability, and banks must leverage these for innovative alternatives such as flow-based lending.

Overall, women face different financial challenges from men and have unique financial planning needs. It is time both policymakers and financial services firms tried to understand the financial needs of women through serious grassroots research, instead of relying on stereotypes to bridge the gender divide in finance.

THE SHARHINDU
BusinessLine

22nd February 2017

LIVE

The still large bad loan book not only heightens the risk to earnings but also impedes fresh lending

The rather sanguine reaction of the market following the results of some of the leading public sector banks, is understandable. After the tumultuous performance last fiscal, owing to the RBI's asset quality review, most banks have cut their losses considerably. Incremental addition to the stockpile of bad loans has slowed, leading to a fall in provisioning requirement and improvement in earnings. The quarterly slippages of the largest lender, State Bank of India, have halved over the last two quarters from a whopping ₹20,000-30,000 crore in the second half of last fiscal. Other large state-owned lenders such as Bank of Baroda and Punjab National Bank, after reporting record losses, have crawled back into the black. But the recovery is nothing more than an optical treat, calming investor nerves rattled over the past couple of quarters by the sheer quantum of slippages. While the pace of slippages has moderated, much of the damage has been done. With PSBs alone saddled with over ₹6 lakh crore of bad loans, provisioning requirement can shoot up in the coming quarters if stressed accounts are not resolved quickly and bad loans continue to age. SBI alone has a little over ₹1 lakh crore of bad loans, nearly a fifth of the country's fiscal deficit.

With core earnings continuing to shrink on account of tepid credit offtake — further hit by demonetisation — many banks have only just managed to stay above water; in most cases bad loan provisions are equal to or many times banks' operating profit. And this, despite the steep windfall treasury gains that banks reported during the quarter. The silver lining, until recently, was the strong performance by private banks, which had mostly emerged unscathed from the RBI's AQR activity. But the sudden rise in slippages of large lenders such as ICICI Bank and Axis Bank, aside from raising some niggling questions, have also weighed on the performance of the entire pack, with profits shrinking for two quarters in a row.

The only way to free up banks' balance sheet and revive investment appetite of stressed companies is to hasten the resolution process. Asset reconstruction companies (ARCs) set up for this purpose have seen limited success, owing to scarce capital and delays in the functioning of the Debt Recovery Tribunals. Lifting the cap on promoters' holding in an ARC has been done away with recently, easing up capital raising. There is now an urgent need to kick-start the resolution machinery under the new Bankruptcy Code. Also, in finding ready takers for businesses under the RBI's various restructuring schemes or selling bad loans to ARCs, lack of concurrence of the serviceable or sustainable portion of debt has impeded resolution. Hence, banks need to be empowered to take huge haircuts to restore viability in some projects. For this, the Centre needs to move ahead on structural reforms — be it operationalising the Banks Board Bureau, or setting out a clear roadmap for consolidation within the sector, or reducing its stake in PSBs.

Devil in the detail

THE HINDU
BusinessLine

20th February 2017

Devil in the detail

The still large bad loan book not only heightens the risk to earnings but also *impedes* fresh lending

- The *rather sanguine* reaction of the market following the results of some of the leading public sector banks, is understandable. After the *tumultuous* performance last fiscal, owing to the RBI's asset quality review, most banks have cut their losses considerably.
- *Incremental* addition to the *stockpile* of bad loans has slowed, leading to a fall in *provisioning* requirement and improvement in earnings.
- The quarterly *slippages* of the largest lender, State Bank of India, have halved over the last two quarters from a *whopping* Rs. 20,000-30,000 crore in the second half of last fiscal. Other large state-owned lenders such as Bank of Baroda and Punjab National Bank, after reporting record losses, have *crawled back* into the black.
- But the recovery is nothing more than an optical treat, calming investor nerves *rattled* over the past couple of quarters by the *sheer* quantum of slippages. While the pace of slippages has moderated, much of the damage has been done. With PSBs alone *saddled* with over Rs. 6 lakh crore of bad loans, provisioning requirement can shoot up in the coming quarters if stressed accounts are not resolved quickly and bad loans continue to age. SBI alone has a little over Rs. 1 lakh crore of bad loans, nearly a fifth of the country's fiscal deficit.
- With core earnings continuing to *shrink* on account of *tepid* credit offtake — further hit by demonetisation — many banks have only just managed to stay above water; in most cases bad loan provisions are equal to or many times banks' operating profit. And this, *despite* the steep *windfall* treasury gains that banks reported during the quarter.
- The *silver lining*, until recently, was the strong performance by private banks, which had mostly emerged *unscathed* from the RBI's AQR activity. But the sudden rise in slippages of large lenders such as ICICI Bank and Axis Bank, aside from raising some *niggling* questions, have also weighed on the performance of the entire pack, with profits shrinking for two quarters in a row.
- The only way to free up banks' balance sheet and revive investment *appetite* of stressed companies is to *hasten* the resolution process. Asset reconstruction companies (ARCs) set up for this purpose have seen limited success, owing to *scarce* capital and delays in the functioning of the Debt Recovery Tribunals.
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- Hence, banks need to be *empowered* to take huge *haircuts* to restore *viability* in some projects. For this, the Centre needs to move ahead on structural reforms — be it operationalizing the Banks Board Bureau, or setting out a clear roadmap for consolidation within the sector, or reducing its stake in PSBs.

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Devil in the detail

The Union Budget looks rosy, but the devil is in the detail.



Devil in the detail

Something looks simple but the details are complicated and likely to cause problems some times

Impede



*He was affected by polio,
but it has not **impeded** his
career .*



Impede

To obstruct the progress or to make things more difficult

Rather



*The train was **rather** crowded.*

Rather

To a slight degree



*Ending the civil war in Syria is not a cause for celebration, but **rather** for regret that why it ever happened at the first instance*

Rather

Expressing an opposite opinion

Rather than

*I would like to stay at home this evening **rather than** go out.*



Rather than

Instead of, to indicate preference

Sanguine



*As Turkey and Russia came together, the international community is more **sanguine** about the prospects for peace in Syria.*

Sanguine

Person with positive attitude and hoping for good things

Tumultuous



*The Congress Vice President was greeted with **tumultuous** applause and a standing ovation.*

Tumultuous

Very loud



EUROPEAN UNION

*After the **tumultuous** developments of 1990s in Europe, several countries integrated into European Union*

Tumultuous

Uncertainty

Devil in the detail

Incremental addition to the *stockpile* of bad loans has slowed, leading to a fall in *provisioning* requirement and improvement in earnings.

Incremental

*Most of the research in pharmaceutical sector moves on with **incremental** advances.*



Incremental

Which happens gradually / normally in small amounts

Stockpile



Stockpile

Large quantity of weapons / food kept ready for future use

Provisioning



Provisioning

Setting aside of money from profits to compensate a probable loss caused on lending a loan. It is to cover the risk.

Devil in the detail

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Slippages

*The **slippage** of exports may lead to increase in current account deficit.*



Slippage

A reduction in the level of something, in comparison to target

Slippages

*The targeted date of completion is 31st December 2017, but a **slippage** of 3 months is expected.*



Slippage

Failure to finish the work on time

Whopping

The telecom company Airtel has got a **whopping** debt of more than \$ 10 bn.



Whopping

Extremely large

Crawled back

The son came *crawling back* to the parents.



Crawled back

Admitting wrong things, which were consistently refused in the past

Be in the Red

To owe money

*The company is **in the red** as it owes a lot of money to the bank.*



State Bank of India

Be in the Black

To have money

*The company is **in the black** and there are no immediate problems anticipated.*



State Bank of India

Devil in the detail

But the recovery is nothing more than an optical treat, calming investor nerves **rattled** over the past couple of quarters by the **sheer** quantum of slippages. While the pace of slippages has moderated, much of the damage has been done. With PSBs alone **saddled** with over Rs. 6 lakh crore of bad loans, provisioning requirement can shoot up in the coming quarters if stressed accounts are not resolved quickly and bad loans continue to age. SBI alone has a little over Rs. 1 lakh crore of bad loans, nearly a fifth of the country's fiscal deficit.

Rattled



*The actions of Donald Trump
rattled the information
technology industry.*

TATA
CONSULTANCY
SERVICES



Cognizant



Rattled

Worried or Nervous

Sheer



*The waterfall has a **sheer** drop of 50 meters.*



*His success in the UPSC examination was due to **sheer** determination.*

Sheer

Extremely steep

Sheer

Emphasis on greatness or importance

Saddled



*Ratan Tata was in the **saddle** as Chief Executive for more than 20 years.*

Saddle

In control of something
with position



State Bank Of India

*State Bank of India is **saddled** with bad loans of over Rs. 1 lakh crore.*

Saddled with

Situation
something
unpleasant or
difficult

Devil in the detail

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Shrink

*Airtel's profits have **shrunk** substantially due to the competition from Reliance Jio*



Shrink

To become smaller

Tepid

*The companies are struggling to boost profits amid **tepid** sales subsequent to demonetization.*



Hindustan Unilever Limited



Nestlé

Tepid

Lack of force or enthusiasm or not very strong

Despite

*The excursion by the school students proved out to be an enjoyable affair **despite** heat wave conditions.*



Despite

Not influenced by something

Windfall

*The shareholders received
windfall gains this year
because of abnormal profits
by the companies.*



Windfall

Money received unexpectedly

Devil in the detail

The *silver lining*, until recently, was the strong performance by private banks, which had mostly emerged *unscathed* from the RBI's AQR activity. But the sudden rise in slippages of large lenders such as ICICI Bank and Axis Bank, aside from raising some *niggling* questions, have also weighed on the performance of the entire pack, with profits shrinking for two quarters in a row.

Silver lining

*Raghu Kumar is suffering from mild hypertension but the **silver lining** is that it made him more and more disciplined person with daily morning walks and controlled dietary habits.*



Silver lining

To indicate every difficult situation has some advantage

Unscathed

*The couple died in the accident but the two year child escaped **unscathed**.*



Unscathed

Without damage / injuries being caused

Unscathed

*The couple died in the accident but the two year child escaped **unscathed**.*



Unscathed

Without damage / injuries being caused

Devil in the detail

The only way to free up banks' balance sheet and revive investment *appetite* of stressed companies is to *hasten* the resolution process. Asset reconstruction companies (ARCs) set up for this purpose have seen limited success, owing to *scarce* capital and delays in the functioning of the Debt Recovery Tribunals.

Appetite

*Subsequent to 2008 financial crisis the investment **appetite** in several countries collapsed.*



Appetite

Feeling that want to eat food

Hasten

*The persistent differences between Ratan Tata and Cyrus Mistry **hastened** the exit of Cyrus Mistry from Tata Sons.*



Hasten

To make something happen more quickly or sooner

Scarce

*India should make optimum use of **scarce** resources so as to reduce poverty*



Scarce

Not easy to find or get

Devil in the detail

LIVE

THE HINDU
BusinessLine

20th February 2017

Lifting the cap on promoters' holding in an ARC has been done away with recently, easing up capital raising. There is now an urgent need to **kick-start** the resolution machinery under the new Bankruptcy Code. Also, in finding ready takers for businesses under the RBI's various restructuring schemes or selling bad loans to ARCs, lack of concurrence of the serviceable or sustainable portion of debt has impeded resolution.

Kick-start

*There is a need to **kick-start** public investment as the climate of private investment is tepid*



Kick-start

To make something to happen more quickly

Devil in the detail

Hence, banks need to be **empowered** to take huge **haircuts** to restore **viability** in some projects. For this, the Centre needs to move ahead on structural reforms — be it operationalizing the Banks Board Bureau, or setting out a clear roadmap for consolidation within the sector, or reducing its stake in PSBs.

Empower

Bank loans
to Self Help
Groups in our
country is
empowering
women



Self Help Groups



73rd & 74th
Amendments to
the Constitution
empowered
Panchayati Raj
Institutions in
our country

Empower

The process of giving people / organization more freedom / rights
/ official authority / legal power

Haircuts



Saloon

*As the company is into losses, the top management asked the employees to take the **haircut** of about 10% from the salary.*

HSBC



snapdeal

Haircuts

Haircuts

Reduction in the amount
of money

Viability

*Raising labour costs because of MGNREA is threatening the **viability** of agriculture sector as a whole.*



Viability

Ability to work to succeed

What women want

Financial inclusion for women requires innovative credit assessment and breaking away from stereotypes

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That the cause of financial inclusion and economic empowerment for women in India needs urgent policy intervention is brought home by several statistics. The World Economic Forum's 2016 *Gender Gap Report* ranked India a lowly 136 out of 144 countries in terms of economic participation and opportunities for women. Official statistics suggest that, even after a brisk pace of account openings under the Pradhan Mantri Jan Dhan Yojana, fewer Indian women (61 per cent in 2015) own bank accounts than men. Research studies show that women-run small and medium enterprises face great difficulty in accessing formal credit, and if they do, are forced to fork out higher interest rates than male-run firms. If women in business and lower-income brackets face out-and-out discrimination, affluent ones have to make do with sub-optimal products from financial services firms due to stereotyping. Banks vending 'special' women's savings accounts and credit cards seem to think that discounts on apparel, cosmetics and spa treatments, with the odd 'well-woman' check-up thrown in, is all that is needed to customise their offerings for women. Even Bharatiya Mahila Bank's initial suite of loan products for women focussed mainly on kitchen renovations, beauty parlours, daycare centres and catering services. All this runs contrary to the experience that women borrowers tend to be more disciplined with savings and timely with loan repayments. This is indeed why much of the lending by microfinance institutions and self-help groups is deliberately targeted at women of the household. If women face high barriers to bank finance despite this, it can be attributed not just to gender bias, but also to their lack of access to collateral (property titles are mostly held by male members) and financial literacy constraints. On these counts, financial institutions and policymakers need to do far more than engage women employees. They need to drive financial literacy among women borrowers and explore innovative means to assess their credit-worthiness in the absence of collateral. Digital footprints and transaction data mined by new-age alternative credit scoring platforms can be of great help to assess repayment ability, and banks must leverage these for innovative alternatives such as flow-based lending.

Overall, women face different financial challenges from men and have unique financial planning needs. It is time both policymakers and financial services firms tried to understand the financial needs of women through serious grass-roots research, instead of relying on stereotypes to bridge the gender divide in finance.

DISCUSSION ON 27th Feb (Monday)

THE STANDARD HINDU
BusinessLine

22nd February 2017

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO



Presented by



LEARNING SPACE

...Transforming Human Lives

OUR TEAM

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